

M/s Shri Ganga Paper Mills Pvt. Ltd. v. Managing Director, Paschimanchal Vidyut Vitran Nigam Ltd.

Allahabad High Court · Division Bench · 7 May 2025 · Writ-C No. 13315 of 2025 · **Stay on BG-renewal penalty till disposal; affidavits; listed 8 July 2025.**

HEADNOTE

Prima facie, s.47 of the Electricity Act, 2003 does not authorise a daily penalty for delayed renewal of a security bank guarantee; the statutory remedy for missing or insufficient security is disconnection. Stay granted on the 11.02.2025 demand under Note 10, Chapter-III of the 08.07.2019 Cost Data Book (Rs.500 per lakh per day of BG) pending hearing. Petitioners must keep paying bills and maintaining security; default permits disconnection.

FACTUAL SUMMARY

The petitioner paper mill challenged a demand dated 11.02.2025 (letter No.899) recovering a penalty of Rs.500 per lakh per day of bank guarantee under Note 10, Chapter-III (Security) of the Cost Data Book dated 08.07.2019. It sought a declaration that the note was ultra vires s.47 of the Electricity Act, 2003 and clause 4.20(f) of the Electricity Supply Code, 2005. Counsel submitted that the mill paid bills on time, received the timely-payment discount, and was given no notice under s.47(2); delay in BG renewal attracted disconnection, not a daily penalty.

HOLDING-UNITS

HOLDING-UNIT · EA2003::47

security deposit — penalty on delayed bank-guarantee renewal

HOLDING

Prima facie, s.47 EA 2003 does not provide a penalty for delay in renewing a bank guarantee given as security; the licensee's statutory remedy for missing or insufficient security is disconnection. Stay granted on the penalty demanded under Note 10, Chapter-III of the 08.07.2019 Cost Data Book (Rs.500 per lakh per day of BG) till disposal. Petitioners must continue timely bill payment and maintain security/BG as per law, failing which the licensee may disconnect. ¶ 5-8

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER NOTE 10, CHAPTER-III OF THE COST DATA BOOK (08.07.2019) IS ULTRA VIRES S.47 EA 2003 AND CLAUSE 4.20(F) OF THE SUPPLY CODE, 2005, AND WHETHER THE DEMAND DATED 11.02.2025 SHOULD BE QUASHED.

Affidavits directed; stay is interlocutory pending disposal. ¶ 3-4

TABLE OF AUTHORITIES

AUTHORITY	PROPOSITION	HOW TREATED	CITED BY	TREATMENT
<i>Kerala State Electricity Board v. Thomas Joseph @ Thomas M.J.</i> 2022 LiveLaw (SC) 1034			petitioner	Referred

